Tinder Pricing Strategy

by Hemant Wakchaure

Tinder, with only ~10% paying users, needs to solve its ARPU problem

Problem Statement

- I am a PM on the Revenue Growth team at Tinder
- The team has been given a mandate of increasing the ARPU (average revenue per user)
- What would be the top initiative I would drive to achieve this desired outcome?
- Assume I have infinite tech bandwidth and I cannot change the current pricing

Why I chose Tinder

Because the product is ubiquitous, and solving for the problem seems to be a very high impact effort

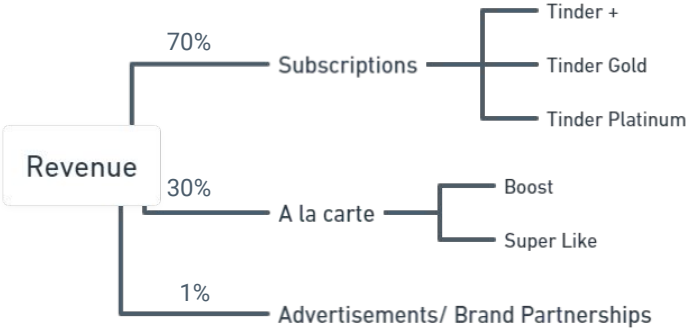
Clarifying the problem statement

- What is ARPU?

$$\text{ARPU} = \frac{\text{Total revenue by Tinder in a year}}{\text{Total number of users in that year}}$$

- Why does tinder want to increase ARPU? Because only ~10% of Tinder users are paying users
- Geo focus: Assuming focus is on users in India

How does Tinder currently generate revenue?



Tinder in Numbers (source)

430 Mn Total Downloads

$1.7 Bn Revenue in 2021

75 Mn MAUs

10 Mn Subscribers

35 mins Average daily time spent per user

tinder

Subscriber growth is P0 outcome as 70% current revenue comes from subscriptions

Mapping Business outcome to Product Outcomes

- ARPU
  - Subscription Revenue
    - # of subscribers
      - # of users
      - x
      - ⚠ Conversion % from new user to a subscriber
    - x
    - Average revenue per subscriber
      - Average subscription price
      - x
      - Renewal rate
  - +
  - A la carte Revenue
    - # of transacting users
      - # of users
      - x
      - % Transacting users
    - x
    - Average transactions per transacting user
    - x
    - Average revenue per transaction
  - +
  - Advertisement Revenue
    - Average revenue per impression
    - x
    - Total # of impressions
      - # of ad placements per swipe
      - x
      - # of swipes per user per session
      - x
      - # of sessions per user
      - x
      - Total # of users

Why to prioritise increasing % subscribers on Tinder?

- Subscriptions contribute to 70% of revenue with just ~13% paying users
- This is a high impact product outcome with still ~87% user base left to capture

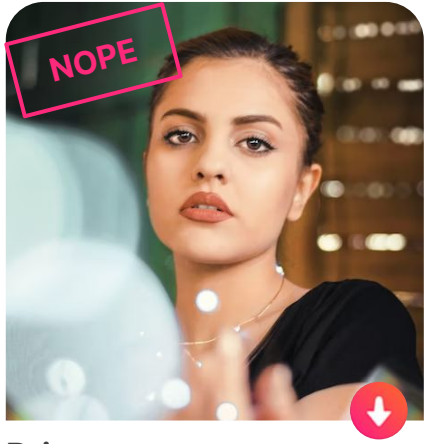
Need to solve for problems in the current journey of: New user → Subscriber

What is a successful failure?

Probability of user retention <u>increases</u> when users realise value by experiencing one of the three events. These events are dubbed "successful failures"

L1 Match → L2 Chat → L3 Date

Young working professionals are P0 users due to large base & spending capacity



Priya 20

Pune
2 kms away
College Student

Looking for
Short-term fun

Spending Capacity: Limited

% User base of Tinder (source)

22%

About Me

Priya wants to have fun, explore different dating experiences, and meet new people. Priya is open-minded, adventurous, and enjoys trying out new activities.

Goals

- Enjoy her college years
- Engage in casual dating
- Seeking like-minded individuals

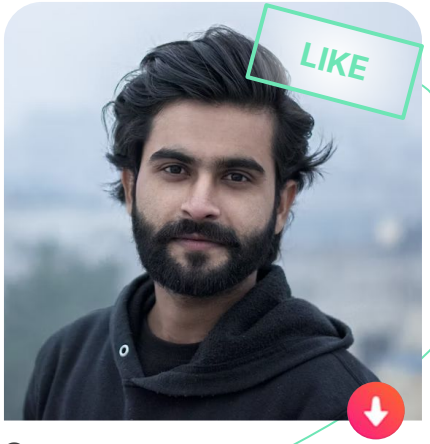
Challenges & Pain Points

- Can't find find compatible matches
- Difficult to understand a person based on their profile
- Gets bored of swiping through irrelevant profiles

Motivations (source)

- Casual sex
- Entertainment to pass time
- As a distraction

Personas refined based on primary user research



Sameer 28

Delhi
3 kms away
Marketing Manager

Looking for
Long-term, open to short

Spending Capacity: Moderate

% User base of Tinder (source)

51%

About Me

Sameer is at a stage in his life where he desires a deeper connection and companionship. He likes taking things slow before committing to a long-term partnership.

Goals

- Find a genuine connection and build a strong foundation
- Seeks a partner who aligns with his values, supports his aspirations

Challenges & Pain Points

- Unable to have deep conversations with matches
- Doesn't prefer to chat on Tinder
- Gets bored in conversations

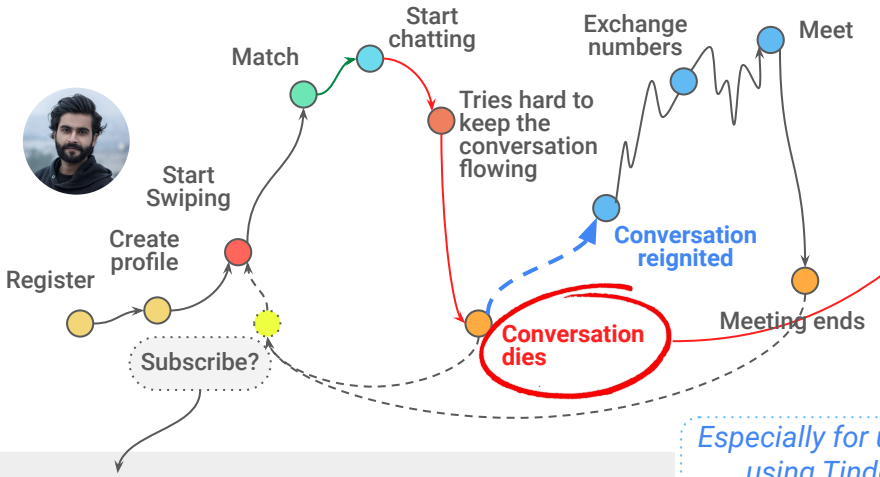
Motivations (source)

- To find a romantic relationship
- Out of curiosity
- To make friends

P0 persona due to large user base & spending capacity

Young professionals struggle to make conversations due to limited attention spans

Sameer's journey through Tinder



Why are users not subscribing?

56% users are satisfied with the matches they get → But → Tinder's current premium features are indexed towards matchmaking

Current premium features not solving the core problem → No premium features to enable good communication between matches

Understanding the core problem

(source) (survey link)

66% users are not able to have a good conversation with matches

Feel that it is difficult to keep the conversation flowing

Even though 56% users say they try very hard to keep the conversation going

78% → Boring Conversation

77% → Lack of interest from the other person

Especially for users using Tinder for >1 month

Tinder conversations become lethargic & repetitive

Finding common ground takes time

Short window to show your match that you are an interesting person

Especially for Straight males

Making a connection quickly is hard on Tinder

Limited attention span of users

On this slide, "Users" means young working professionals

Enabling deeper conversations will help unlock subscriber growth & increase ARPU

What is the true problem?

Users struggle to engage in meaningful conversations due to limited attention spans

Who are the customers facing the problem?

Young working professionals from Tier 1 cities, who are looking for a long term partner, & have been using Tinder for >1 month

How do we know it's a real problem? (source)

- 66% users are not able to have a good conversation with matches
- 67% users feel that it is difficult to keep the conversation flowing
- 56% users say that they get bored in conversations too easily
- 56% users say that they often don't reply to messages if they find them boring

What is the value generated by solving this problem?

For the customers

- Meaningful conversations would mean a more enhanced and enjoyable experience
- This will help users in finding more compatible matches
- Personal growth for users as deeper discussions would enable learning from each others' perspectives

For the business

- Increased retention of users due to value realisation
- Positive word of mouth leading to organic growth
- Premium feature adoption: 1% increase in subscribers will result in 7% increase in annual revenue

Why do we need to solve the problem now?

- Tinder's paid user growth has slowed lately
- Match Group Inc.'s share price plunged ~70% in 2022 as investors fretted that Tinder is losing its mojo
- ARPU can be expected to decline industry-wide throughout the rest of 2023

“Blind Date 🙈” selected as P1 solution to help users make deeper conversations

Possible Solutions to solve the problem (mind map) (detailed RICE prioritisation with weightages of below solutions)

	Blind Date 🙈 Chat with matches without seeing them 1	Tinder Ignite ⚡ Reigniting your chats by playing fun games	Tinder Burn 🔥 Replicate in-person interactions digitally
Features	When users turn on this feature, they & their match would not be able to see each other’s profile pictures till both consent	This feature allows users to play a game with their match in their chat window	Send self destructing messages. As you read the words of the message, they keep disappearing & the message disappears
How it solves	Removes distractions due to attractiveness and enables users to make meaningful conversations	Allowing users reignite a boring conversation through fun games	Keeps the focus of the receiver on the message being shown creating FOMO
Reach	Medium (Appeals to only users with looking for serious outcomes)	High (Appeals to a wide range of audience)	High (Appeals to a wide range of audience)
Impact	High (Allows users to focus on conversations)	Medium (Allows restarting conversations with ease)	Medium (Directly affects focus)
Confidence	High (Demands users to indulge in meaningful conversations)	Medium (Meaningful conversations might/might not occur)	Medium (Doesn't necessarily enable deeper conversations)
Effort	Medium (Need to develop hidden profile pic functionality, which can be integrated in existing app UX)	Medium (Need to develop a collection of games before launch, but can be integrated in existing chat UX)	High (Need to build tech for this feature)
RICE Score	6	4.8	2.4

“Blind Date 🙈” would be introduced to the users through progressive discovery

User Flow (detailed user flow)

Primary user starts swiping with “Blind Date” mode ON

↓

Users get matched but can only see bio of each other

↓

Start chatting

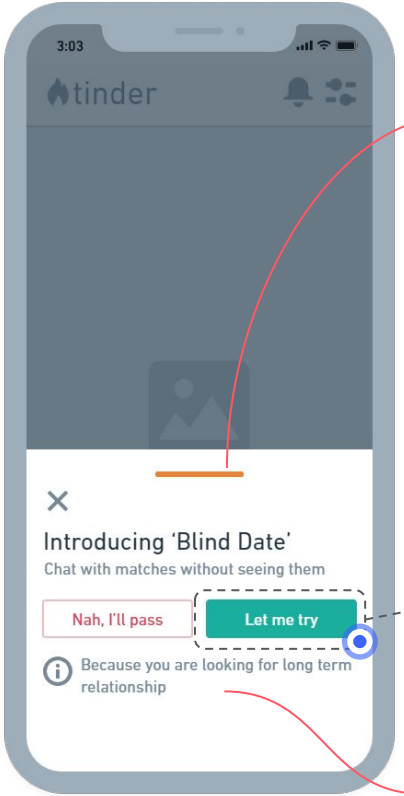
↓

Option to view each others’ full profile after a conversation threshold

↓

Both users consent & view full profiles

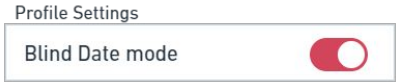
Visualising the user journey



Launching the feature through progressive discovery while the users are swiping through profiles

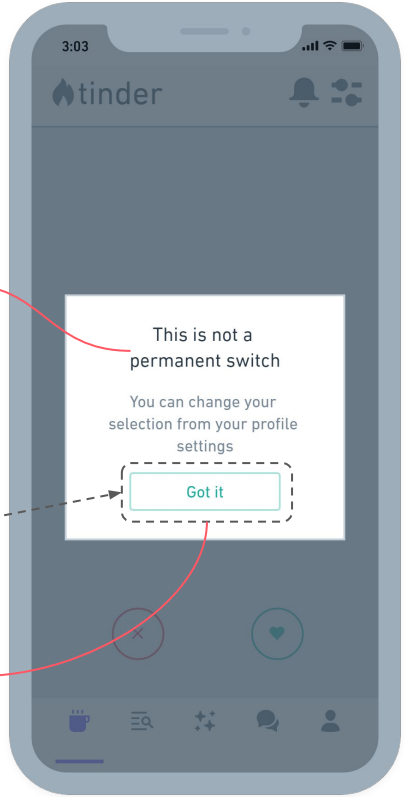
Reassuring the users that whatever decision they make is customisable

If the user cancels here, they can opt-in later from their profile settings

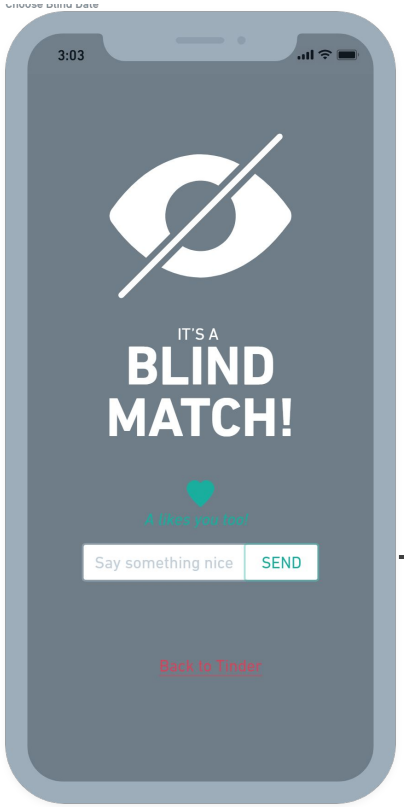


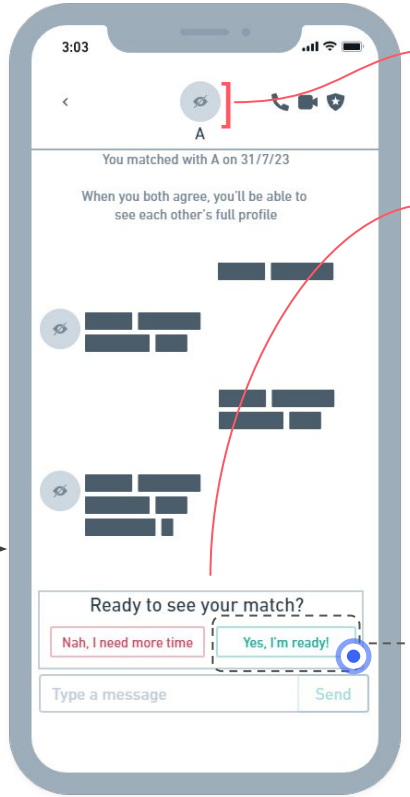
Whatever option they choose, Users can then **continue swiping as usual**

Informing the user how this feature is personalised for them



“Blind Date 🙈” would allow users to not see their match’s profile till both consent



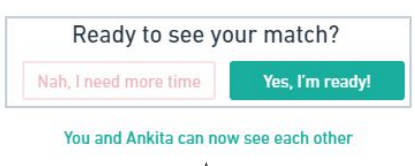


Profile pictures are not visible **only after there is a match** in this mode

Name, Age, & Profile picture are hidden in the chat screen

After the users **exchange 20 messages**, they are given an option to see their match

If both consent, then they can view full profiles of each other



Else they continue the conversation in Blind Mode for the next 20 messages, for two more times, after which they’ll be shown the profiles anyway

Why ‘20’ messages?

- ‘20’ is a test size; It would be modified to be the avg. of both individual’s preferred number
- Preference would be learned based on every user interaction
- This would increase the unpredictability of when this option is shown, as time passes

What about users who don’t have Blind Mode on?

- If even one user has blind mode ON, it would still be a Blind Match for both
- This would ensure a consistent user experience after match to both parties
- It would also enable awareness & value realisation for non subscribers

Imperative to Blind Date's success is increase in users engaging in meaningful conversations

Impact of solution on customers

If users can't prioritise profiles based on profile pictures, there would be less distractions & users will HAVE TO engage in conversations

Impact of solution on business

Blind Date would be a premium feature for users to take advantage of, hence increasing subscription revenue

How can the solution possibly fail?

Pitfall	Mitigation
Mismatched expectations: If the delayed reveal doesn't meet their expectations, it could lead to disappointment and negative user experiences	Allowing users to see profile pictures while swiping, in reassurance that their match has met their initial appearance expectation
Lack of initial attraction: With current criteria often being initial physical attraction, users might not feel a strong initial connection due to lack of pictures	Allow users to customize their profiles with more detailed information and engaging prompts to encourage initial connection
Increased pressure on appearance: By postponing the visual aspect of matching, users may feel heightened pressure to appear more attractive and hence delay consenting to show profile endlessly	Encourage users through nudges to focus on building emotional connections before the visual reveal to reduce the emphasis solely on physical appearance
Reduced user trust: Users might become skeptical or wary about the authenticity of their matches' profiles	Ensure that only verified users can use this mode to avoid catfishing and deception

Measuring Success

North Star Metric

- % increase in subscribers

Awareness

- % users introduced to Blind Date through pop-up

Activation

- % users who turned on Blind Date mode

Adoption

- % users who used Blind Date mode for more than 1 week

Engagement

- % increase in matches with whom 20+ messages are exchanged (for users with Blind Mode ON)

Retention

- Daily Active users
- 7d retention

Satisfaction

- NPS for Blind Date mode